



Figure 7.1

losses during bad times. I discuss the economic stories behind the factors from a rational and behavioral perspective and the implications of these stories for asset owners.²

There are two types of factors. There are macro, fundamental-based factors, which include economic growth, inflation, volatility, productivity, and demographic risk. The second type is investment-style factors like the market factor of the capital asset pricing model (CAPM) and the value strategy of this motivating example. Investment factors include both *static factors*, like the market, which we simply go long to collect a risk premium, and *dynamic factors*, which can only be exploited through constantly trading different types of securities. (In chapters 17 and 18, I show that many hedge funds and private equity investments are essentially bundles of dynamic factors.) The two types of factors are linked, and macro factors are often embedded in the performance of investment factors. I turn to economy-wide macro factors first.

2. Macro Factors

It is intuitive that macro factors pervasively affect all investors and the prices of assets.³ When economic growth slows or inflation is high, all firms and investors

²A very comprehensive study of factor risks is Ilmanen (2011).

³The first study to consider macro factors as systematic sources of risk in the cross section of equities was Chen, Roll, and Ross (1986).